Block practice · Organisation structure

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Span of control, chain of command and delegation

Organisational structures: hierarchical, flat, centralised, decentralised

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Practice workbook · Span of control, chain of command and delegation

Roles and responsibilities: span of control, chain of command and delegation, including judging how well a wide or narrow span works, with effects on supervision, decisions and motivation.

12 question parts: 1 worked-example retry and 11 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S2-30

1. Question 2 · part e · 3 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part e only.

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2 *Tata Motor Company* has employees across the world. It prides itself on looking after all its employees and ensuring that their needs are met.

(a) State **one** non-financial objective for *Tata Motor Company*.

(1)

(b) State **one** reason why *Tata Motor Company* would employ casual staff.

(1)

(c) Explain **one** reason why a business uses fringe benefits.

(3)

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(d) Explain **one** reason why a business would use job production.

(3)

1. Question 2 · part e · 3 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part e only.

(e) Explain **one** benefit to a business of having a short chain of command.

(3)

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1. Question 2 · part e · 3 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part e only.

Tata Motor Company uses different pricing strategies. It is considering **two** options for the launch of a new vehicle:

Option 1: cost plus

Option 2: promotional.

(f) Justify which **one** of these two options *Tata Motor Company* should use.

(9)

(Total for Question 2 = 20 marks)

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1. Question 2 · part e · 3 marks · Working and answer

Working and answer

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2. Question 1 · part d · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

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1 *Hans Raj Mahajan Worldwide (HRMW)* is an established manufacturer of sports equipment and sportswear in India. It is a family-run business, which started trading in 1925 and since then has grown to become an established business. Its products are exported across the world. These include footballs, boxing gloves, hockey sticks and sports clothing.

(a) (i) Which **one** of the following is the meaning of production?

Select **one** answer.

(1)

- ☒ **A** Provision of services
- ☒ **B** Exchange of goods
- ☒ **C** Extraction of raw materials
- ☒ **D** Manufacture of finished goods

(ii) Which **one** of the following is a benefit to a person of buying a franchise?

Select **one** answer.

(1)

- ☒ **A** The person can buy supplies from any supplier
- ☒ **B** The person is given support from an established business
- ☒ **C** The person is guaranteed a set wage
- ☒ **D** The person shares their profits with the franchisee

A football that costs 1 060 Indian Rupees is sold for 1 600 Indian Rupees.

(iii) Which **one** of the following would be the markup percentage?

Select **one** answer.

(1)

- ☒ **A** 6.63%
- ☒ **B** 15.09%
- ☒ **C** 33.75%
- ☒ **D** 50.94%

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2. Question 1 · part d · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

The bank interest rate in India changed from 4.5% to 6.0%.

(iv) Which **one** of the following could affect a business because of this change?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Increase in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(v) Which **one** of the following is a feature of a public corporation?

Select **one** answer.

(1)

- ☒ **A** It is owned by a board of directors
- ☒ **B** It is funded by government
- ☒ **C** It aims to maximise profit
- ☒ **D** It is not accountable to anyone

Figure 1 shows the cash flow of a business for a month.

	(£)
Opening balance	1 020 000
Cash inflow	360 000
Cash outflow	400 000

Figure 1

(vi) Which **one** of the following is the closing balance for the business at the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£40 000
- ☒ **B** £40 000
- ☒ **C** £980 000
- ☒ **D** £1 060 000

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2. Question 1 · part d · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

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(b) Define the term **commission**.

(1)

(c) Define the term **revenue**.

(1)

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(d) State **one** possible reason why *HRMW* has a short span of control.

(1)

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2. Question 1 · part d · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

Figure 2 shows *HRMW*'s estimated revenues.

Year	Revenue in Rupee (000)
2020–2021	85 083
2021–2022	92 322

Figure 2

(e) Calculate, to two decimal places, the percentage increase from 2020–2021 to 2021–2022. You are advised to show your working.

(2)

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(f) Explain **one** reason why a business would sponsor an event.

(3)

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2. Question 1 · part d · 1 mark · Working and answer

Working and answer

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3. Question 1 · part b · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part b only.

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1 (a) (i) Which **one** of the following sectors would a retail outlet operate in?

(1)

Select **one** answer.

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quarternary

(ii) Which **one** of the following would be used to select a group of applicants for interview?

(1)

Select **one** answer.

- ☒ **A** Training
- ☒ **B** Shortlisting
- ☒ **C** Marketing
- ☒ **D** Advertising

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3. Question 1 · part b · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part b only.

NEXT purchased 5,000 dresses from a Turkish manufacturer at 101.10 New Turkish Lira (TRY) per dress.

The exchange rate is £1.00 (GBP) = 6.74 (TRY)

(iii) Which **one** of the following would *NEXT* pay in £ (GBP) to the Turkish manufacturer for the 5,000 dresses?

(1)

Select **one** answer.

- ☒ **A** 5 101
- ☒ **B** 5 674
- ☒ **C** 33 700
- ☒ **D** 75 000

(iv) Which **one** of the following describes Kaizen?

(1)

Select **one** answer.

- ☒ **A** Skilled manufacturing
- ☒ **B** Just-in-time (JIT)
- ☒ **C** Market orientated
- ☒ **D** Continuous improvement

Figure 1 shows the number of online customers using *NEXT* in 2017–2018.

	2017 Millions	2018 Millions
Online customers	4.7	4.9

Figure 1

(v) What is the percentage increase, to two decimal places, of online customers from 2017 to 2018?

(1)

Select **one** answer.

- ☒ **A** 2.00%
- ☒ **B** 4.08%
- ☒ **C** 4.26%
- ☒ **D** 4.70%

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P 6 6 4 7 4 A 0 4 2 0

3. Question 1 · part b · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part b only.

(vi) Which **one** of the following is a benefit of buying a franchise?

(1)

Select **one** answer.

- ☒ **A** The franchisor provides training to the franchisee
- ☒ **B** A franchisee pays a lower rate of Value Added Tax (VAT)
- ☒ **C** The franchisor pays the franchisee to set up in business
- ☒ **D** A franchisee makes all his/her own decisions

(b) Define the term **delegation**.

(1)

(c) Define the term **venture capital**.

(1)

(d) State **one** reason why *NEXT* might use cost plus pricing.

(1)

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3. Question 1 · part b · 1 mark · Working and answer

Working and answer

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4. Question 1 · part d · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part d only.

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1 The *LEGO* Group is a privately-owned business in Denmark. The business was founded in 1932 by the Kristiansen family. The family still owns it. The name *LEGO* is an abbreviation of two Danish words, 'leg godt' which means 'play well'. It is now one of the world's largest manufacturers of toys with 15 factories and over 18,000 employees around the world.

LEGO manufactures toys, games and art materials for boys and girls of all ages, and products from films such as Star Wars and Harry Potter. It believes that children are the role models of the future and playing with *LEGO* can support children in a developing and complex world.

(a) (i) Which **one** of the following shows money coming in and money going out of a business?

Select **one** answer.

(1)

- ☒ **A** A mortgage
- ☒ **B** Break-even
- ☒ **C** Cash flow
- ☒ **D** Profit and loss

(ii) Which **one** of the following could a person complete when applying for a job?

Select **one** answer.

(1)

- ☒ **A** Application form
- ☒ **B** Shortlisting
- ☒ **C** Job description
- ☒ **D** Person specification

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4. Question 1 · part d · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part d only.

Figure 1 shows financial information for one of *LEGO*'s suppliers in Danish Krone (DKK).

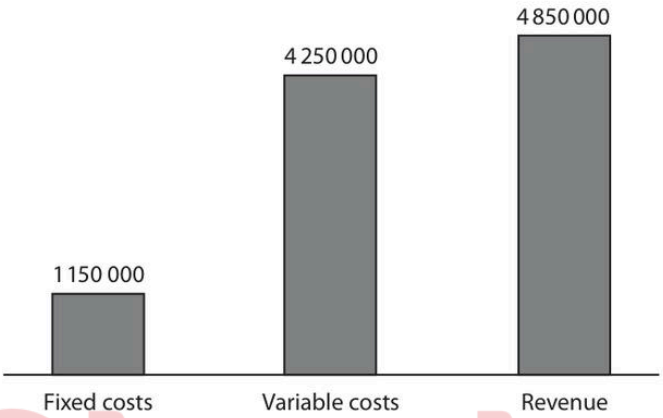


Figure 1

(iii) Which **one** of the following is the correct statement?

Select **one** answer.

(1)

☒ **A** Total costs of 10 250 000

☒ **B** Cash inflow of 3 100 000

☒ **C** Loss of 550 000

☒ **D** Profit of 600 000

(iv) Which **one** of the following is a benefit of being a franchisee?

Select **one** answer.

(1)

☒ **A** Being able to choose your own suppliers

☒ **B** Selling an established brand

☒ **C** Not having to pay interest on a bank loan

☒ **D** Having complete control of the business

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4. Question 1 · part d · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part d only.

LEGO's revenue in 2019 was 38.5 billion DKK. In 2020 it was 40.81 billion DKK.

(v) Which **one** of the following is the percentage increase from 2019 to 2020?

Select **one** answer.

(1)

- ☒ **A** 0.06%
- ☒ **B** 1.06%
- ☒ **C** 2.31%
- ☒ **D** 6%

(vi) Which **one** of the following functional areas could help employees who had a problem with their wage?

Select **one** answer.

(1)

- ☒ **A** Production
- ☒ **B** Finance
- ☒ **C** Marketing
- ☒ **D** Sales

(b) Define the term **break-even**.

(1)

(c) Define the term **public corporation**.

(1)

(d) State **one** benefit for *LEGO* of having a short span of control.

(1)

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4. Question 1 · part d · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part d only.

LEGO sells pineapple pencil holders for 148.00 DKK. The markup is 15%.

(e) Calculate, to two decimal places, the cost of making the pineapple pencil holders.
You are advised to show your working.

(2)

..... DKK

(f) Explain **one** disadvantage of using questionnaires as a method of market research.

(3)

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4. Question 1 · part d · 1 mark · Working and answer

Working and answer

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5. Question 3 · part a · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part a only.

3 *LEGO* ensures its employees are fully prepared to carry out the tasks they are employed for. It looks after and encourages its employees to develop and improve their own skills.

(a) Define the term **delegation**.

(1)

(b) Outline **one** benefit to *LEGO* of being a privately-owned family business.

(2)

An employee working in the offices earns 150 000 DKK. In 2020 *LEGO* gave its employees a 4.5% pay increase.

(c) Calculate the employee's new salary. You are advised to show your working.

(2)

..... DKK

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5. Question 3 · part a · 1 mark · Working and answer

Working and answer

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6. Question 1 · part c · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part c only.

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1 *As We Grow* (*AWG*) is a clothing business in Iceland. The social objective of the business is to use natural materials, such as wool, and produce environmentally friendly products. It aims to design clothes that will last a long time, to encourage families to buy fewer clothes and reduce waste in society.

AWG's increasing product range now includes jumpers, dresses, shirts and baby clothes. These are produced in small workshops that employ family and friends. Waste is kept to a minimum and any leftover material is used to make scarves and hats. The business has one store in Iceland. It uses its website to advertise and sell its clothing online to customers in other countries. The business has received the Icelandic Design Award for its contribution to the environment.

(a) (i) Which **one** of the following is shown on the statement of financial position?

Select **one** answer.

(1)

- ☒ **A** Sales
- ☒ **B** Cost of sales
- ☒ **C** Current assets
- ☒ **D** Gross profit

(ii) Which **one** of the following is an element of the marketing mix?

Select **one** answer.

(1)

- ☒ **A** Price
- ☒ **B** Partnership
- ☒ **C** Production
- ☒ **D** Profit

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6. Question 1 · part c · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part c only.

A business has fixed costs of £6 000 a month. Variable costs are £5 per unit and 8,000 units are made each month.

(iii) Which **one** of the following is the total monthly cost?

Select **one** answer.

(1)

- ☒ **A** £ 6 005
- ☒ **B** £14 000
- ☒ **C** £30 000
- ☒ **D** £46 000

(iv) Which **one** of the following job roles is most likely to be associated with capital-intensive production?

Select **one** answer.

(1)

- ☒ **A** Hairdresser
- ☒ **B** Car assembly worker
- ☒ **C** Soft fruit picker
- ☒ **D** Chef

(v) Which **one** of the following is an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Venture capital
- ☒ **C** Retained profit
- ☒ **D** Crowdfunding

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6. Question 1 · part c · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part c only.

The currency of Iceland is the krona (ISK).

AWG's weekly fixed costs are 440 000 ISK and the variable cost per jumper is 2 500 ISK. Each jumper is sold for 8 000 ISK.

(vi) Which **one** of the following is the weekly break-even point?

Select **one** answer.

(1)

- ☒ **A** 8
- ☒ **B** 55
- ☒ **C** 80
- ☒ **D** 176

(b) Define the term **profit**.

(1)

(c) Define the term **span of control**.

(1)

(d) State **one** likely variable cost for *AWG*.

(1)

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6. Question 1 · part c · 1 mark · Working and answer

Working and answer

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7. Question 1 · part d · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part d only.

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1 The first *Premier Inn* hotel was opened in 1987. *Premier Inn* now has over 820 hotels in the UK, United Arab Emirates (UAE) and India with over 83,000 rooms. It has recently expanded by opening the first *Premier Inn* in Germany and has plans to open more in other countries.

The majority of the hotels have restaurants with facilities for guests to buy meals and drinks.

(a) (i) Which **one** of the following is the break-even point on a break-even chart?

Select **one** answer.

(1)

- ☒ **A** When fixed costs and variable costs are the same
- ☒ **B** When total costs and fixed costs are the same
- ☒ **C** When fixed costs and total revenue are the same
- ☒ **D** When total costs and total revenue are the same

(ii) Which **one** of the following is a benefit to a franchisee?

Select **one** answer.

(1)

- ☒ **A** The franchisee can buy supplies from any supplier
- ☒ **B** The franchisee is given support from the franchisor
- ☒ **C** The franchisee is guaranteed a set wage
- ☒ **D** The franchisee has total control

(iii) Which **one** of the following is an advantage of job production when compared to other methods of production?

Select **one** answer.

(1)

- ☒ **A** Workers will be better motivated
- ☒ **B** Production speeds will be faster
- ☒ **C** Unit costs will be the same
- ☒ **D** Less training will be needed

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7. Question 1 · part d · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part d only.

The cost of getting a room ready for customers at the UAE *Premier Inn* is 325 Arab Emirates Dirham (AED).

Premier Inn then adds 25% for other expenses including salaries.

(iv) Which **one** of the following would be the total amount paid in AED by a customer for a room?

Select **one** answer.

(1)

- ☒ **A** 81.25
- ☒ **B** 243.75
- ☒ **C** 350.00
- ☒ **D** 406.25

Figure 1 – Extract from *Premier Inn* financial report in 2021–2022.

	2021 £ millions	2022 £ millions
Revenue	249.60	772.80

Figure 1

(v) Which **one** of the following is the percentage increase in revenue from 2021 to 2022.

Select **one** answer.

(1)

- ☒ **A** 5.23%
- ☒ **B** 67.70%
- ☒ **C** 209.62%
- ☒ **D** 523.20%

(vi) Which **one** of the following is an internal source of finance for a business?

Select **one** answer.

(1)

- ☒ **A** Crowdfunding
- ☒ **B** Loan capital
- ☒ **C** Personal savings
- ☒ **D** Venture capital

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P 7 5 9 6 1 R A 0 4 2 0

7. Question 1 · part d · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part d only.

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(b) Define the term **job description**.

(1)

(c) Define the term **public corporation**.

(1)

DO NOT WRITE IN THIS AREA

(d) State **one** reason why *Premier Inn* managers would delegate tasks to hotel employees.

(1)

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7. Question 1 · part d · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part d only.

To encourage people to stay at a new German hotel, *Premier Inn* offers a 12.5% discount on a room for the first night only.

The price for one night is €89.25.

(e) Calculate, to two decimal places, the price for the first night after the discount has been applied. You are advised to show your working.

(2)

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(f) Explain **one** advantage of using focus groups when carrying out market research.

(3)

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7. Question 1 · part d · 1 mark · Working and answer

Working and answer

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8. Question 3 · part a · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part a only.

3 (a) Define the term **span of control**.

(1)

(b) Outline **one** way *Ocean Vibes* may promote its business.

(2)

Figure 2 shows an extract from financial statements of a business in 2023.

	€
Gross profit	220 000
Operating expenses	160 000
Operating profit	60 000
Capital employed	80 000

Figure 2

(c) Calculate the return on capital employed (ROCE). You are advised to show your working.

(2)

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P 7 8 9 6 9 A 0 1 2 2 0

8. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 2 · part d · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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2 (a) State **one** non-financial method of motivating staff at *Lavender*.

(1)

(b) State **one** function of the finance area in *Lavender*.

(1)

(c) Explain **one** way a business can use penetration pricing.

(3)

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(d) Explain **one** reason why a business would have a short span of control.

(3)

9. Question 2 · part d · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(e) Explain **one** reason why diseconomies of scale may occur in a business.

(3)

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P 5 9 9 2 9 A 0 8 1 6

9. Question 2 · part d · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 3 · part b · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part b only.

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3 Saving the environment in which we all live is important. The Chairman ensures that *Emirates* works hard to recycle many of the materials it uses and to reduce atmospheric pollution from the fuel that powers its aircraft. Water consumption for washing aircraft has been reduced, newspapers and other paper products collected from *Emirates* aircraft cabins are recycled. *Emirates* uses a variety of methods to monitor its employees when carrying out these jobs. For these roles *Emirates* uses a short chain of command.

(a) Define the term **hierarchical structure**.

(1)

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(b) Outline **one** reason why *Emirates* has a short chain of command for monitoring its employees when recycling.

(2)

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.....

Emirates used 13,457,776 litres of petrol in 2016–2017. In 2017–2018 it reduced this figure by 12.5%.

(c) Calculate the number of litres of petrol that *Emirates* used in 2017–2018. You are advised to show your workings.

(2)

..... litres

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P 6 2 4 2 7 A 0 1 3 2 0

10. Question 3 · part b · 2 marks · Working and answer

Working and answer

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11. Question 2 · part d · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part d only.

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2 *TUI* has employees throughout the world. Some are employed to greet customers arriving at their holiday destination by air, rail or road. Others sell trips and excursions to customers once they reach their holiday destination. *TUI* prides itself on looking after all its employees and making sure that their needs are met.

(a) State **one** possible reason why *TUI* would want to keep its customers loyal.

(1)

(b) State **one** reason why *TUI* would employ casual employees.

(1)

(c) Explain **one** reason why businesses employ people with disabilities.

(3)

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11. Question 2 · part d · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part d only.

(d) Explain **one** benefit to a business of having a short chain of command.

(3)

(e) Explain **one** important piece of information that should be included in a job advertisement in a newspaper.

(3)

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11. Question 2 · part d · 3 marks · Working and answer

Working and answer

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12. Question 1 · part g · 6 marks

2025 JUN · Paper 01

Further practice · Attempt part g only.

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1 Gianni Polvani opened his first gym, *Four Fitness*, over 20 years ago. He now employs 14 highly-qualified gym instructors in his two gyms. Both gyms are in Italy, one in Arezzo and the other in Castiglion Fiorentino.

The gym encourages its members to take part in all the physical activities it offers. Members can take part in a number of social activities as well.

Four Fitness has a website which is primarily for information only. The website details such things as opening hours and descriptions of available activities. It cannot be used to book activities or access personal training plans.

(a) (i) Which **one** of the following is a debt payable within 12 months?

Select **one** answer.

(1)

- ☒ **A** Current asset
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Non-current liability

(ii) Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market?

Select **one** answer.

(1)

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

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12. Question 1 · part g · 6 marks

2025 JUN · Paper 01

Further practice · Attempt part g only.

(iii) Which **one** of the following is a role of the human resources department?

Select **one** answer.

(1)

- ☒ **A** Reducing costs
- ☒ **B** Designing products
- ☒ **C** Customer service
- ☒ **D** Recruiting employees

(iv) Which **one** of the following is a benefit to a shareholder of having limited liability?

Select **one** answer.

(1)

- ☒ **A** Choosing who can buy shares
- ☒ **B** May build a better relationship with suppliers
- ☒ **C** Own possessions are not at risk
- ☒ **D** Employee motivation will increase

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12. Question 1 · part g · 6 marks

2025 JUN · Paper 01

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Four Fitness is considering introducing sports drinks to sell to its customers and to do this it needs to hire a fridge to store the sports drinks. To decide whether it is a good business decision, it needs to work out the break-even level of output.

Figure 1 shows some financial data to assist this decision.

	€
Fixed costs	280
Variable cost per unit	0.70
Revenue per unit	1.50

Figure 1

(v) Which **one** of the following is the break-even level of output?

Select **one** answer. (1)

- ☒ **A** 280
- ☒ **B** 350
- ☒ **C** 420
- ☒ **D** 616

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12. Question 1 · part g · 6 marks

2025 JUN · Paper 01

Further practice · Attempt part g only.

Figure 2 is a financial extract from a gym equipment business that supplies *Four Fitness*.

	€
Total revenue	132 165
Total labour costs	54 000
Total material costs	17 000
Other costs	17 400

Figure 2

(vi) Which **one** of the following statements from **Figure 2** correctly applies to the gym equipment business?

Select **one** answer. (1)

☒ **A** It made a loss of €88 400

☒ **B** It made a loss of €61 165

☒ **C** It made a profit of €43 765

☒ **D** It made a profit of €78 165

(b) Define the term **trade bloc**. (1)

(c) Define the term **job production**. (1)

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P 7 8 7 9 4 R A 0 6 2 0

12. Question 1 · part g · 6 marks

2025 JUN · Paper 01

Further practice · Attempt part g only.

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(d) State **one** reason why *Four Fitness* would pay its employees more than the minimum wage.

(1)

As part of its 'social activities' *Four Fitness* is planning an evening event promoting healthy eating and living. The price of a ticket is €35. *Four Fitness* members will be given a 7% discount.

(e) Calculate the total price if five *Four Fitness* members attend the event. You are advised to show your working.

(2)

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€ .....

(f) Explain **one** impact to a business of providing fringe benefits to employees.

(3)

P 7 8 7 9 4 R A 0 7 2 0

12. Question 1 · part g · 6 marks

2025 JUN · Paper 01

Further practice · Attempt part g only.

Gianni Polvani's span of control is 14.

(g) Analyse the effectiveness of the wide span of control used by Gianni Polvani.

(6)

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(Total for Question 1 = 20 marks)

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12. Question 1 · part g · 6 marks · Working and answer

Working and answer

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Practice workbook · Organisational structures: hierarchical, flat, centralised, decentralised

Organisational charts: hierarchical versus flat structures and centralised versus decentralised decision-making, with their benefits and drawbacks.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S2-31

1. Question 2 · part c · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part c only.

2 (a) State **one** way *TBTS* can measure its success as a business.

(1)

(b) State **one** reason why *TBTS* might segment its market.

(1)

(c) Explain **one** benefit to a business of having a flat organisational structure.

(3)

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1. Question 2 · part c · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part c only.

(d) Explain **one** method a small business might use to increase its profit.

(3)

(e) Explain **one** benefit to a business of using the Boston Matrix.

(3)

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1. Question 2 · part c · 3 marks · Working and answer

Working and answer

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2. Question 3 · part a · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a only.

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3 Saving the environment in which we all live is important. The Chairman ensures that *Emirates* works hard to recycle many of the materials it uses and to reduce atmospheric pollution from the fuel that powers its aircraft. Water consumption for washing aircraft has been reduced, newspapers and other paper products collected from *Emirates* aircraft cabins are recycled. *Emirates* uses a variety of methods to monitor its employees when carrying out these jobs. For these roles *Emirates* uses a short chain of command.

(a) Define the term **hierarchical structure**.

(1)

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(b) Outline **one** reason why *Emirates* has a short chain of command for monitoring its employees when recycling.

(2)

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Emirates used 13,457,776 litres of petrol in 2016–2017. In 2017–2018 it reduced this figure by 12.5%.

(c) Calculate the number of litres of petrol that *Emirates* used in 2017–2018. You are advised to show your workings.

(2)

..... litres

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2. Question 3 · part a · 1 mark · Working and answer

Working and answer

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3. Question 1 · part a.iv · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part a.iv only.

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1 *Samsung* is a South Korean public limited company. It designs and produces electronic products including mobile phones, televisions and laptops. It has factories and offices in 74 countries and employs more than 270,000 people worldwide.

Samsung is the leading producer of televisions. It competes with businesses such as *Apple* and *Xiaomi* in the smartphone market.

The aim of *Samsung* is 'to create superior products and services that contribute to a better society'. To achieve this, *Samsung* invests heavily in new technology and employs skilled engineers to design innovative products.

(a) (i) Which **one** of the following is a financial aim of a business?

(1)

Select **one** answer.

- ☒ **A** Survival
- ☒ **B** Independence
- ☒ **C** Control
- ☒ **D** Challenge

(ii) Which **one** of the following is a job in the secondary sector?

(1)

Select **one** answer.

- ☒ **A** Farmer
- ☒ **B** Grocery store manager
- ☒ **C** Restaurant waiter
- ☒ **D** Ship builder

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3. Question 1 · part a.iv · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part a.iv only.

Figure 1 shows the number of employees in three factories owned by a European business.

	Number of employees
Factory 1	210
Factory 2	125
Factory 3	140

Figure 1

The business pays remuneration of €120 per day for each employee.

(iii) Which **one** of the following is the total daily remuneration cost for the three factories?

Select **one** answer. (1)

- ☒ **A** €15 000
- ☒ **B** €16 800
- ☒ **C** €25 200
- ☒ **D** €57 000

(iv) Which **one** of the following is an advantage of a hierarchical organisational structure?

Select **one** answer. (1)

- ☒ **A** It is less expensive to operate than a flat structure
- ☒ **B** It has a short chain of command
- ☒ **C** It has more job promotion opportunities for its employees
- ☒ **D** It has a wide span of control

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4

P 7 8 9 7 1 A 0 4 2 0

3. Question 1 · part a.iv · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part a.iv only.

Figure 2 shows a monthly cash flow statement for a business.

	€ (euros)
Opening balance	€76 000
Cash inflow	€59 000
Cash outflow	€34 000

Figure 2

(v) Which **one** of the following is the net cash flow for this month?

Select **one** answer.

(1)

- ☒ **A** €17 000
- ☒ **B** €25 000
- ☒ **C** €42 000
- ☒ **D** €101 000

(vi) Which **one** of the following best describes Taylor's motivational theory?

Select **one** answer.

(1)

- ☒ **A** Workers are motivated by money
- ☒ **B** Workers are motivated by esteem needs
- ☒ **C** Workers are motivated by hygiene factors
- ☒ **D** Workers are motivated by working in teams

(b) Define the term **job rotation**.

(1)

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3. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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4. Question 2 · part e · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

2 (a) State **one** method *Irsi Chocolatier* could use to improve its competitive position.

(1)

(b) State **one** way *Irsi Chocolatier* might extend the life cycle of one of its products.

(1)

(c) Explain **one** way a business could use e-newsletters.

(3)

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4. Question 2 · part e · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

(d) Explain **one** way a business could use market research information.

(3)

(e) Explain **one** benefit to a business that has a decentralised organisational structure.

(3)

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4. Question 2 · part e · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

Irsi Chocolatier is planning to produce chocolate lollipops in different shapes and flavours.

Currently, handmade chocolates are made using batch production and cakes for special occasions use job production.

To make the new chocolate lollipops *Irsi Chocolatier* is considering using:

Option 1: batch production

Option 2: job production.

(f) Justify which **one** of these two options *Irsi Chocolatier* should choose.

(9)

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4. Question 2 · part e · 3 marks · Working and answer

Working and answer

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5. Question 2 · part e · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

2 (a) State **one** reason why *Café Pinch* might set business objectives.

(1)

(b) State **one** way *Café Pinch* could use the Boston matrix to review its product portfolio.

(1)

(c) Explain **one** responsibility of the human resources function.

(3)

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5. Question 2 · part e · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(d) Explain **one** advantage of being in a partnership.

(3)

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(e) Explain **one** disadvantage to a business of having a hierarchical organisational structure.

(3)

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5. Question 2 · part e · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Berlin has recently seen an increase in cafés, small restaurants and breakfast bars. To remain competitive and keep its customers, *Café Pinch* is reviewing its marketing mix. It is considering two options:

Option 1: introduce a vegan range of products

Option 2: a special offer of 7.5% discount to customers on Wednesday mornings 9am–12pm.

(f) Justify which **one** of these two options *Café Pinch* should choose.

(9)

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P 7 5 8 4 2 A 0 1 0 2 0

5. Question 2 · part e · 3 marks · Working and answer

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6. Question 2 · part d · 3 marks

2024 JUN · Paper 01

Further practice · Attempt part d only.

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2 (a) State **one** advantage for *PPS* of keeping its customers loyal.

(1)

(b) State **one** reason why *PPS* motivates its employees.

(1)

(c) Explain **one** impact on a business of ineffective communication.

(3)

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6. Question 2 · part d · 3 marks

2024 JUN · Paper 01

Further practice · Attempt part d only.

(d) Explain **one** advantage to a business of having a decentralised organisation.

(3)

(e) Explain **one** benefit to a business of using seasonal employees.

(3)

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6. Question 2 · part d · 3 marks · Working and answer

Working and answer

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7. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

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4 **Figure 3** shows an extract from a statement of financial income.

	$ (US Dollars)
Revenue	218 000
Gross profit	112 000
Other operating expenses	94 000

Figure 3

(a) Calculate, to **two** decimal places, the operating profit margin. You are advised to show your workings.

(2)

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7. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

(b) Analyse the purpose of market research for *Samsung*.

(6)

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P 7 8 9 7 1 A 0 1 8 2 0

7. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

Samsung has factories in 74 countries and employs 270,000 people. It has a centralised organisation structure. Its head office is in Seoul, South Korea where major decisions on production, design and marketing are made.

(c) Evaluate whether a centralised organisation structure will benefit *Samsung*. You should use the information provided as well as your own knowledge of business.

(12)

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7. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

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(Total for Question 4 = 20 marks)

7. Question 4 · part c · 12 marks · Working and answer

Working and answer

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